June 2020

Category review: Chips

Retail Analytics

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Our 17 year history assures best practice in privacy, security and the ethical use of data

Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantium has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use 'bank grade' security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

We all have a responsibility to use data for good

Quantium believes in using data for progress, with great care and responsibility. As such please respect the commercial in confidence nature of this document.

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Executive summary

01 Task 1

"Older Families - Budget" drive the base volume and frequency.

"Young Singles/Couples - Mainstream" are the primary value drivers, paying the highest average price per unit (~$4.07) with a strong affinity for premium brands.

02 Task 2

Trial layouts drove highly significant uplifts in sales and customer footfall (exceeding 95% confidence intervals) at Stores 77 & 88.

Store 86 saw increased traffic but flat sales.

Recommendation: Proceed with the system-wide rollout of the trial layout. Optimize premium product placement at eye-level to capture the Mainstream Young Singles/Couples segment.

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01

Category

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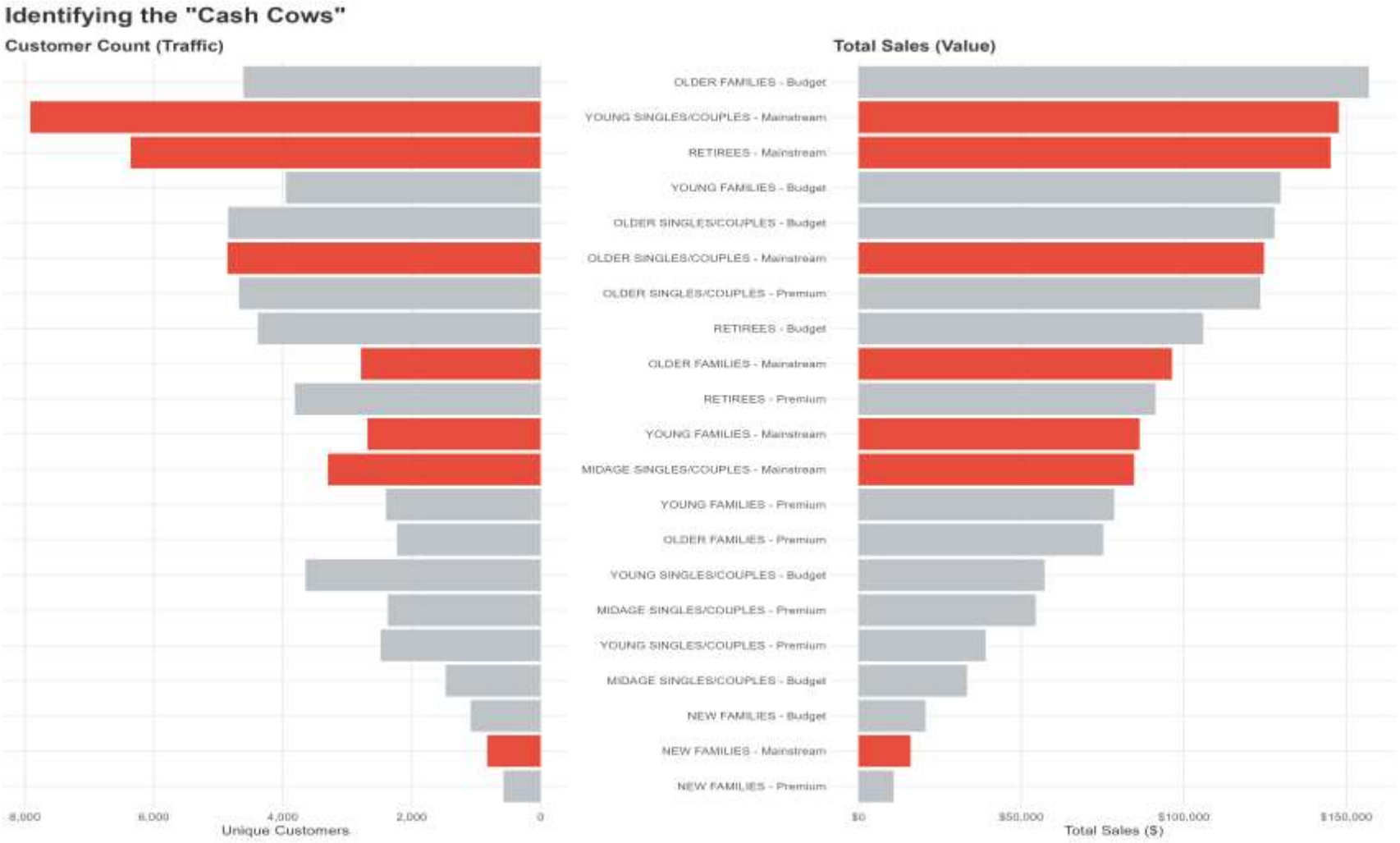
Everyday volume relies on older demographics, but strategic margin growth lies with younger, mainstream buyers.

- Budget Older Families and Mainstream Retirees contribute the highest total sales due to their sheer volume and high purchasing frequency.
- However, Mainstream Young Singles/Couples are less price-sensitive and represent a critical opportunity for premiumization.



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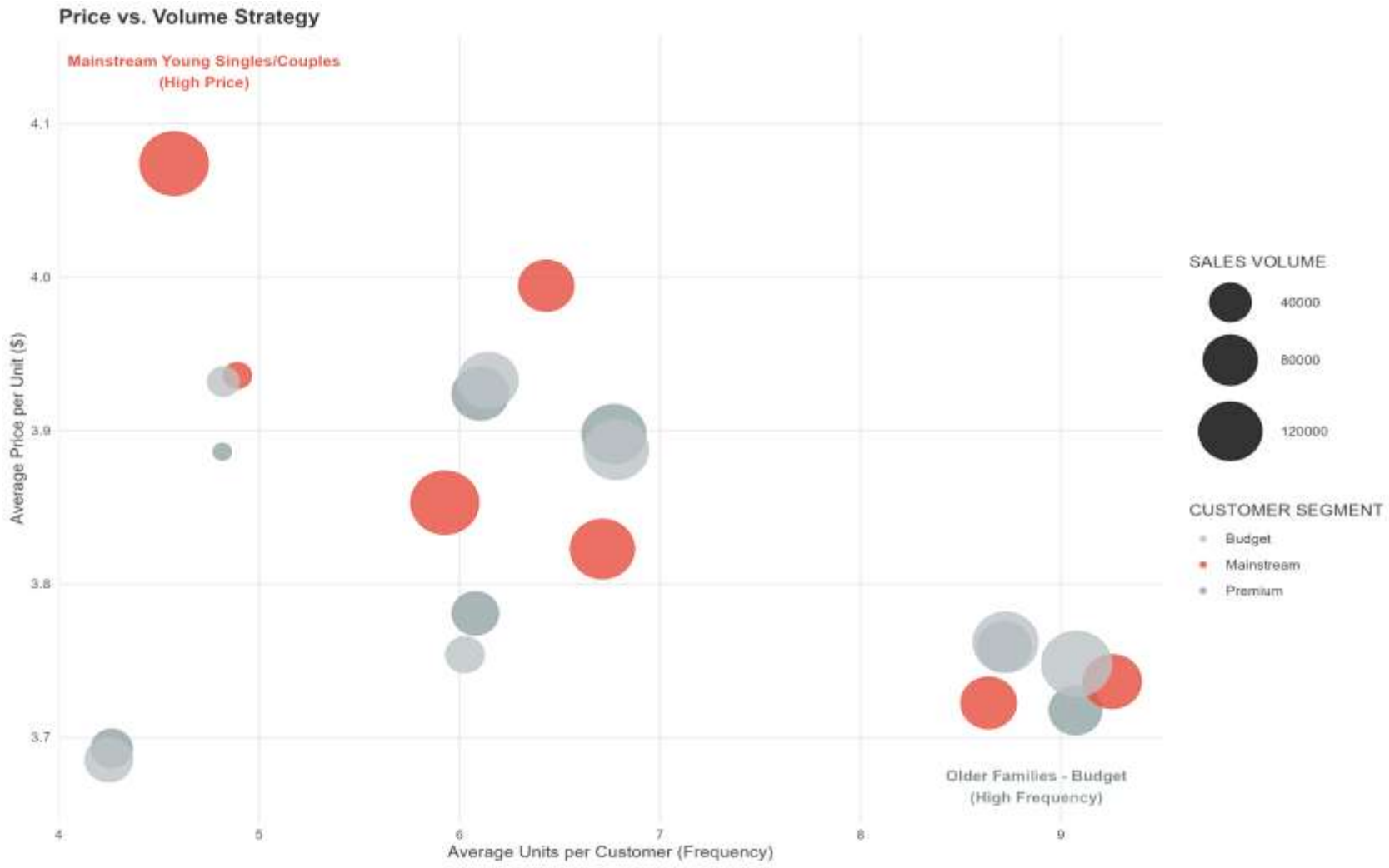
Mainstream Young Singles/Couples pay a significant premium per unit compared to their peers.

- Affluence directly impacts unit price: The Mainstream segment of Young Singles/Couples pays ~$4.07 per unit, compared to ~$3.69 for Budget/Premium tiers.
- They demonstrate a 23% higher likelihood to purchase premium brands like Tyrrells and prefer specific pack sizes (270g).



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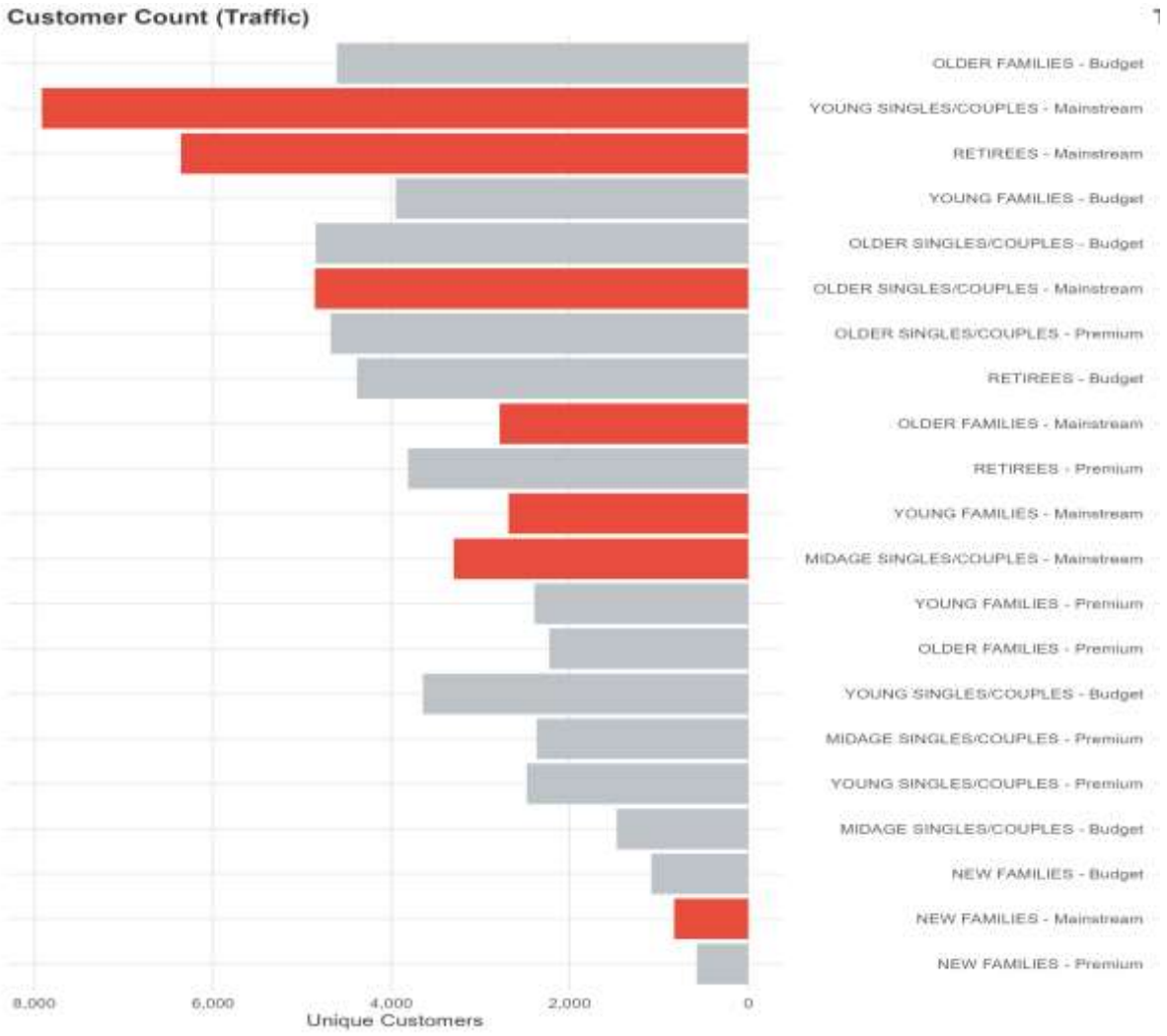
Customer proportions highlight the untapped potential in the younger mainstream market.

- While established families form the foundation of our customer base, targeting the specific preferences of the younger demographic can drive incremental value without needing to drastically increase footfall.



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Trial store performance

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Robust statistical matching ensures accurate trial uplift measurement.

- To isolate the impact of the new layouts, we paired each trial store with a statistically identical "Control Store" using pre-trial historical data.
- Matches were established by calculating Pearson Correlation and Magnitude Distance for Monthly Sales and Customer Counts.
- Pairs established: Store 77 with 233, Store 86 with 155, and Store 88 with 237.

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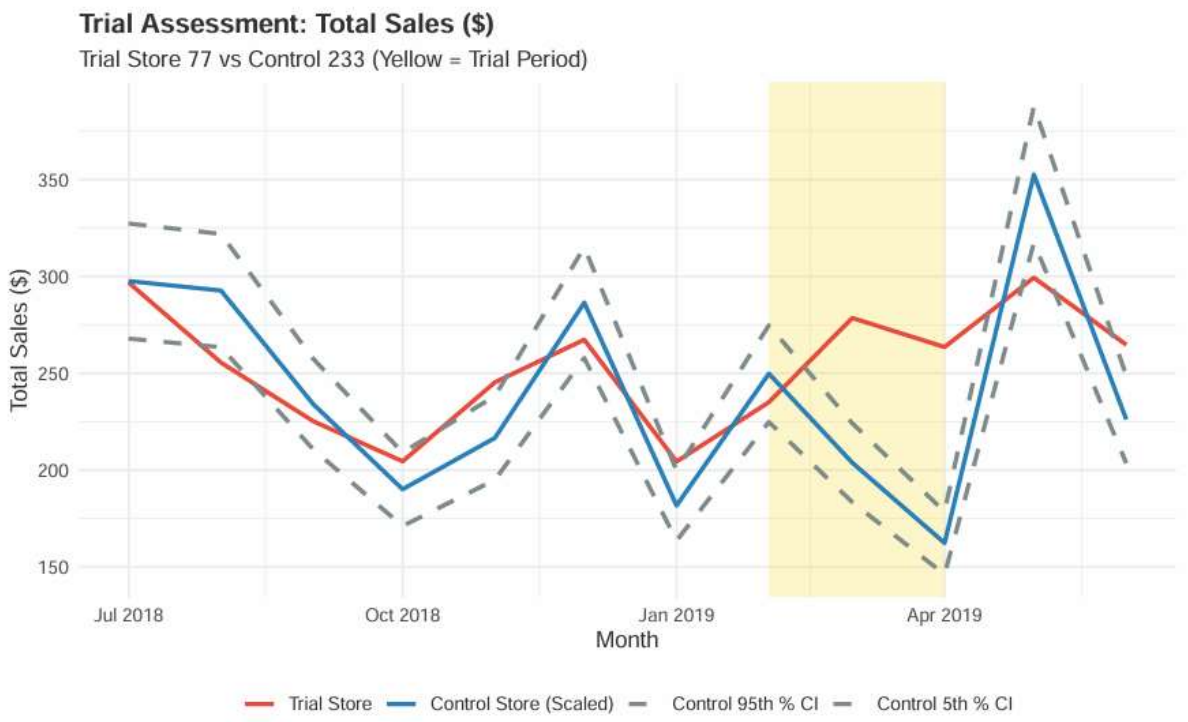
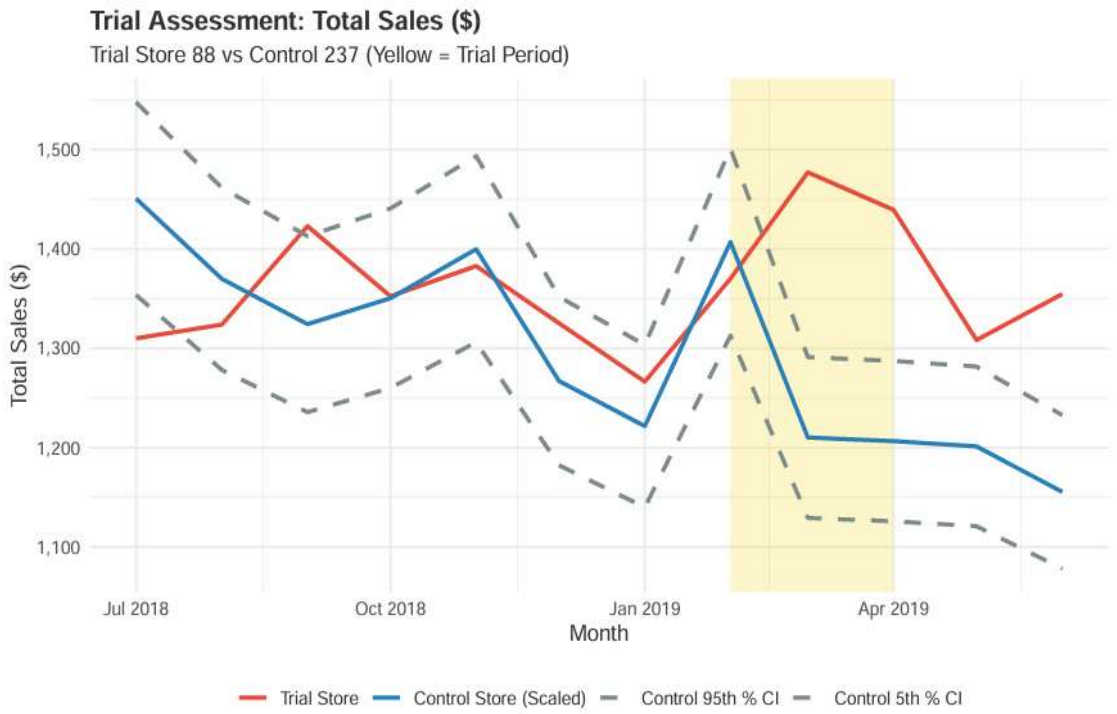
Trial layouts successfully generated statistically significant growth in Stores 77 & 88

- **Stores 77 & 88:** Both sales and customer footfall consistently broke the 95th percentile confidence interval of their control stores during the trial months (Feb-Apr).
- **Store 86:** Successfully increased customer traffic, but basket sizes remained flat, leading to non-significant sales growth.





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Next Steps & Strategic Recommendations

1. **System-Wide Rollout:** The trial layouts have proven effective. We recommend rolling this out to all remaining standard stores.

2. **Investigate Store 86:** Category Manager to conduct a floor-walk at Store 86 to identify merchandising friction preventing increased footfall from converting to larger basket sizes.

3. **Targeted Merchandising:** Ensure premium brands (Tyrrells) and 270g pack sizes are prominently featured in the new layouts to capitalize on the Mainstream Young Singles/Couples demographic.

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